exchange, money and stock markets, and clearing houses returned to normal functioning. I must admit that Chidambaram's pressure was the motive force behind our sense of urgency and alacrity.

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By December 2008, I had brought down the policy rate from 9 per cent to 5 per cent, in effect reversing in just three months the policy rate hike that took five years on the way up. In fact, I cut rates so regularly during this period that I was rapidly coming to be seen as a trigger-happy governor. At the launch of Rakesh Mohan's book in Delhi in February 2009, I alluded to my predicament with one of my famous hair jokes. This is what I said:

'The other day, when I was in Hyderabad, I went to my regular barber for a haircut. In the inevitable barber–client conversation, it was our practice to talk about his children, my children, local politics and Bollywood. But this time round he was seeing me for the first time after I became governor. Even as he was preparing to apply scissors to my hair, he asked, "When are you going to cut interest rates?" I was exasperated by even my barber not giving me any respite from interest rates. Clearly wanting to take my mind off stressful issues, I tried to divert the topic. But he seemed bent on dispensing wisdom and persisted with the banter on interest rates. I got irritated and snapped at him, "What do you know about interest rates and how does it matter to you at all? Why don't you just leave me alone?" He smiled and said, "I don't know much about interest rates, but I do know that if I talk about them, your hair will rise and it will be easier to cut it."'

Government and the Reserve Bank during the Crisis

In mid-October 2008, even as the Reserve Bank was dousing the system with rupee and forex liquidity, Finance Minister Chidambaram had *suo moto* constituted a committee on liquidity management, with Finance Secretary Arun Ramanathan as the chairman. The Reserve Bank was asked to nominate a representative on the committee. I was annoyed and upset by this decision. Chidambaram had clearly overstepped into the RBI turf as